15.05.2026

NBR Board decisions on monetary policy

In its meeting of 15 May 2026, the Board of the National Bank of Romania decided the following:

to keep the monetary policy rate at 6.50 percent per annum;
to leave unchanged the lending (Lombard) facility rate at 7.50 percent per annum and the deposit facility rate at 5.50 percent per annum;
to maintain the existing levels of minimum reserve requirement ratios on both leu- and foreign currency-denominated liabilities of credit institutions.

In March 2026 the annual inflation rate stopped its slow downward trend, rising to 9.87 percent from 9.31 percent in February, following the significant hike in fuel prices in the context of the Middle East war, which was counterbalanced to a small extent by the minor decreases in the dynamics of energy and administered prices, as well as in core inflation.

In 2026 Q1 as a whole, the 12-month inflation rate thus rose mildly from 9.69 percent in December 2025, given that the influences coming over this period from the pick-up in fuel prices and the moderate renewed acceleration in the dynamics of VFE prices and tobacco product prices outweighed somewhat those stemming from the notable drop in natural gas and electricity prices, as well as from the slight deceleration in core inflation.

The annual adjusted CORE2 inflation rate entered a mildly downward path at the beginning of 2026, falling to 8.2 percent in March from 8.5 percent in December 2025, under the impact of disinflationary base effects and the decrease in the prices of some agri-food commodities and in the dynamics of import prices, but also amid weaker consumer demand.

In April 2026, the annual inflation rate went up to 10.71 percent, mainly as a result of significant increases in the dynamics of natural gas, fuel and administered prices, under the influence of unfavourable base effects and the rise in oil prices alongside the impact of markedly higher rents for state-owned housing.

The annual inflation rate calculated based on the Harmonised Index of Consumer Prices (HICP – inflation indicator for EU Member States) climbed to 9.5 percent in April 2026 from 8.6 percent in December 2025. The average annual CPI inflation rate rose to 9.0 percent in April 2026 from 7.3 percent in December 2025, while the average annual HICP inflation rate increased to 8.0 percent in April 2026 from 6.8 percent in December 2025.

According to preliminary data, economic activity contracted by 0.2 percent in 2026 Q1, after shedding 2.0 percent in 2025 Q4 (quarterly change), whereas its annual dynamics fell to -1.7 percent in 2026 Q1 from 0.2 percent in the previous quarter amid relatively mixed developments across aggregate demand components and major sectors, as suggested by high-frequency indicators.

Specifically, in 2026 Q1, retail sales witnessed a stronger fall compared to the same year-earlier period and industrial output reported a larger contraction year on year. The growth rate of the volume of construction works posted, however, a slight acceleration in January-February 2026, whereas the annual change of exports of goods and services saw its positive differential versus that of imports narrow visibly, recording a relatively more pronounced drop from 2025 Q4, so that the trade deficit reported a slightly lower contraction in annual terms. Nevertheless, the current account deficit saw a faster year-on-year decline in the first two months of 2026 Q1 amid the improvement in the evolution of income balances.

The number of employees economy-wide showed a swifter decrease in January-March 2026 compared to the previous quarter, while the ILO unemployment rate went down in 2026 Q1 overall, after rising to an average of 6.2 percent in 2025 Q4. The annual growth rate of nominal gross wage also posted a faster downward trend in 2026 Q1, while that of the unit labour cost in industry decreased markedly compared to the still high levels seen in the second half of 2025. Furthermore, employment intentions over the very short horizon, as well as the labour shortage reported by companies continued to decline in April 2026, reaching increasingly low levels from a historical perspective, yet at a visibly slower pace, as indicated by the latest surveys.

The main interbank money market rates remained relatively stable in April and in the early days of May at the levels they had climbed to at the beginning of March. Medium- and long-term yields on government securities steepened their downward course in the first part of April, before posting marked increases in the second part of the month – in the context of the Middle East conflict, but also amid the heightened political tensions domestically –, which were however largely corrected during the first 10-day period of May. Against the same background, the EUR/RON exchange rate re-embarked on an upward path in mid-April, before witnessing a significant abrupt rise at end-April and in the first days of May, which was nevertheless partly offset afterwards.

The annual pace of increase of credit to the private sector picked up slightly in March as well, to 7.1 percent from 6.8 percent in February 2026, as the annual rate of change of loans to non-financial corporations accelerated its advance – driven by both the leu- and foreign currency-denominated components –, while the dynamics of household credit halted the downward trend. The share of the domestic currency component in credit to the private sector stopped its decrease in March 2026, staying at 67.8 percent.

In today’s meeting, the NBR Board examined and approved the May 2026 Inflation Report, which incorporates the latest available data and information.

According to the forecast included in the Report, the annual inflation rate will step up in 2026 Q2 above the previously envisaged levels, mainly following the effects anticipated to be exerted by pricier fuels, owing to the surge in oil and natural gas prices amid the Middle East conflict. They will overlap the unfavourable base effects that will be manifest in the energy segment over the same period, but also the influences expected to stem from the liberalisation of the natural gas market for non-household consumers and from the subsequent removal of the cap on the mark-up on basic food products.

The annual inflation rate will see, however, a substantial downward correction in 2026 Q3, once the direct effects from the expiry of the electricity price capping scheme and the increases in VAT rates and excise duties have faded away, and then it will decrease gradually, re-entering the variation band of the target in 2027 Q3, amid the strengthening of underlying disinflationary pressures, especially those from the aggregate demand deficit. The latter widened beyond expectations in 2025 Q4 and is expected to widen further in 2026 H1, against the background of the progress in budget correction, but also given the global energy crisis, dropping and sticking throughout the forecast horizon to significantly lower than previously envisaged values.

Heightened uncertainties are nevertheless associated, in the current domestic political environment, with potential future measures to continue budget consolidation beyond this year in line with the National Medium-Term Fiscal-Structural Plan agreed with the European Commission and with the excessive deficit procedure.

High uncertainties and risks to the outlook for economic activity, implicitly the medium-term inflation developments, arise also from the Middle East conflict and the global energy crisis, via the effects potentially exerted, through several channels, on consumer purchasing power, as well as on firms’ activity and profits, inter alia by affecting the dynamics of economies and inflation in Europe/worldwide and the risk perception towards the region, with an impact on financing costs.

At this juncture, the absorption and use to the maximum of EU funds, especially those under the NRRP, are essential for partly counterbalancing the contractionary effects of budget consolidation and of the Middle East conflict, as well as for carrying out the necessary structural reforms, energy transition included.

The ECB’s and the Fed’s monetary policy decisions, as well as the stance of central banks in the region, are also relevant.

Based on the currently available data and assessments, as well as in light of the high uncertainties, the NBR Board decided in the meeting held today, 15 May 2026, to keep the monetary policy rate at 6.50 percent per annum. Moreover, it decided to leave unchanged the lending (Lombard) facility rate at 7.50 percent per annum and the deposit facility rate at 5.50 percent per annum. Furthermore, the NBR Board decided to maintain the existing levels of minimum reserve requirement ratios on both leu- and foreign currency-denominated liabilities of credit institutions.

The NBR Board decisions aim to ensure and maintain price stability over the medium term, in a manner conducive to achieving sustainable economic growth. The NBR Board reiterates that, at the current juncture, the balanced macroeconomic policy mix and the implementation of structural reforms, also by using EU funds to foster the growth potential over the long term, are of the essence for a stable macroeconomic framework and for strengthening the capacity of the Romanian economy to withstand adverse developments.

The NBR closely monitors developments in the domestic and international environment and stands ready to use the tools at its disposal in order to achieve the fundamental objective regarding medium-term price stability, while safeguarding financial stability.

The new quarterly Inflation Report will be presented to the public in a press conference on 19 May 2026 at 11:00 a.m. The account (minutes) of discussions underlying the adoption of the monetary policy decision during today’s meeting will be posted on the NBR’s website on 27 May 2026 at 3:00 p.m.

The next monetary policy meeting of the NBR Board will be held on 8 July 2026.

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EUR

5.2317

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610.5409

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